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April 29, 2010

Honorable Karen V. Gregory
Secretary
Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573

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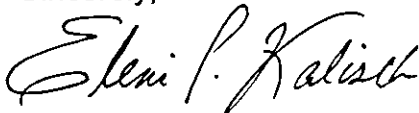
Dear Ms. Gregory:

Enclosed please find the responses of Royal Caribbean Cruises Ltd. (RCL) to the Questions for the Record submitted by the Federal Maritime Commission following its March 3, 2010 hearing on Passenger Vessel Financial Responsibility. The enclosed version is suitable for public disclosure, as the confidential corporate information has been redacted. An unredacted version is submitted to the Commission under separate cover.

While we defer to the Cruise Lines International Association (CLIA) to respond on behalf of the cruise industry to a number of the Commission's questions, RCL has attempted to provide useful company information where appropriate.

Thank you for the opportunity to respond to the Commission's inquiries. If you have additional questions or require additional information, please do not hesitate to contact me. RCL is available to discuss its views with the Commission at any time.

Sincerely,



Eleni P. Kalisch
Vice President
Federal Government Relations

Enclosure

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FEDERAL MARITIME COMMISSION

RESPONSES OF ROYAL CARIBBEAN CRUISES LTD. (RCL) TO

QUESTIONS FOR THE RECORD

FEDERAL MARITIME COMMISSION HEARING

PASSENGER VESSEL FINANCIAL RESPONSIBILITY

MARCH 3, 2010

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FEDERAL MARITIME COMMISSION

1. For each cruise operator that used a surety bond to meet its financial responsibility requirements, how much did it cost to maintain the bond in 2009, and how much do you anticipate it will cost in 2010?

RCL Response - CONFIDENTIAL:

2. How many passengers do your cruises that are subject to the FMC's financial responsibility requirements serve in a year?

RESPONSE TO BE PROVIDED BY THE CRUISE LINES INTERNATIONAL ASSOCIATION (CLIA)

3. What is your average fare per passenger for cruises that are subject to the FMC's financial responsibility requirements?

RESPONSE TO BE PROVIDED BY CLIA

4. What assessment or measure should the Commission use or look to in an effort to gauge the financial strength and bankruptcy risk of a cruise operator, who may be a private or foreign company? What should the Commission use to ensure a reliable indication of credit risk without having to hire a team of industry and financial analysts?

RCL Response:

The assessments and measures the Commission should use to gauge the financial strength and bankruptcy risk of a cruise operator are those broadly used to evaluate the health and viability of any commercial enterprise. These include the evaluation of the company's profitability, operating performance, free cash flow generation, liquidity, leverage and debt levels, interest expense coverage, and return on assets and equity. These metrics should be analyzed over the

recent past, forecasted for future periods, and benchmarked against relevant competitors and industry standards.

For publicly-traded companies and companies with publicly-traded debt, the financial data and credit ratings are readily available. For private and/or foreign companies, there are a number of companies (Equifax, Dun & Bradstreet, Moody's, Standard & Poors, Hoovers) that provide financial information on select entities, for a per inquiry fee or by subscription.

Additionally, we are aware of several entities -- Lloyd's MIU and Ocean Intelligence -- that specialize in credit reports on private shipping companies. Lloyd's MIU, for example, operates an online database available at "Seasearcher.com" that includes data on 120,000 vessels and 163,000 shipping companies, including 14,000 credit reports. If a credit report for a company is not available, Lloyd's MIU accepts commissions for new reports. The FMC may want to consider engaging these types of entities to provide financial reports on any company of concern to the Commission.

5. What percentage of unearned passenger revenues (UPR) do credit card companies require you to set aside or protect? What protections for that amount are required to make sure that it is not spent or obligated? What does that protected amount cover? Does it include nonperformance of a cruise, airfare, and/or other costs or reimbursements?

RCL Response - CONFIDENTIAL:

6. Historically, we understand that credit card companies have reimbursed passengers after cruise line bankruptcies even when their original payment was outside the window established by the Fair Credit Billing Act. Are you aware of any contractual obligation for credit card companies to reimburse for nonperformance? Do the credit card companies make any commitments to cruise operators in exchange for the cruise operator setting aside a portion of UPR for the event of nonperformance?

RCL Response - CONFIDENTIAL:

7. What percentage of your passengers obtain travel insurance that covers cancellation of a cruise because of nonperformance? What percentage of that travel insurance is obtained from a third party as opposed to the cruise operator itself?

RESPONSE TO BE PROVIDED BY CLIA

8. On October 19, 2001, American Classic Voyages declared bankruptcy. Were all passengers fully reimbursed following that bankruptcy? How long did it take for the passengers to be reimbursed if they did not use credit cards?

RESPONSE TO BE PROVIDED BY CLIA

9. If a cruise operator argues for current or reduced bonding or escrow obligations due to its financial health, at what point should a company be required to set aside more UPR for nonperformance? If unforeseen events or economic conditions cause an operator financial hardship, would increasing that operator's financial responsibility requirements at that time be opposed as adding to the hardship?

RCL Response:

As RCL indicated previously, the Commission may look to the on-line financial statements which appear on the Securities and Exchange Commission's EDGAR website for the public company cruise lines, monitor Standard & Poor's and Moody's credit ratings, and also engage specialized credit reporting agencies to provide custom reports on private companies. These sources would show material financial change over time, and would give the Commission a very good indication of any growing financial concerns. Presumably if the Commission observes a very rapid drop in liquidity and available credit, or sees a material multi-step downgrade in credit agency ratings, the Commission would communicate with the affected cruise line to learn the facts and decide what action to take. Requiring additional collateral ties up financial resources otherwise available to perform voyages, so the Commission would have to consider the trade-offs in imposing on an affected cruise line a requirement to increase its security arrangements in time of stress. This would have to be done on a case-by-case basis.

10. If a large cruise operator fails while holding a surety bond that represents only 3% to 5% of its UPR, and passengers are not fully reimbursed, what would be your response to critics who argue that the Commission's financial responsibility requirements were too lax?

RESPONSE TO BE PROVIDED BY CLIA

11. Is it your position that, despite inflation and all of the changes in the industry, the Commission should go beyond twenty years without making an adjustment to its financial responsibility protections? What would happen to a cruise operator that went twenty years without adjusting its fares?

RESPONSE TO BE PROVIDED BY CLIA

Question of Chairman Lidinsky and Commissioner Brennan

12. Please describe your "booking window." How far in advance do your passengers book their cruises, on average? What do you require for a deposit from your passengers? How far in advance do you require payment of the passenger's fare, or of portions of the passenger's fare?

RCL Response:

For U.S. guests, RCL generally requires the initial booking deposits within 7 days of booking a cruise; the balance of the cruise fare is due 60-90 days prior to the sail date. Deposit amounts for U.S. guests are typically \$100 USD per person (for cruises of 5 nights or less), \$250 per person (for cruises of 6-8 nights), and \$450 per person (for cruises that are 9 nights or more). Deposit terms differ for non-U.S. guests who purchase their cruises at various markets outside of the U.S.

Questions of Commissioner Dye

13. What types of reasonable information regarding passenger travel insurance and credit card protections for nonperformance of a cruise could your company report to the Commission which would assure repayment to passengers in the event of nonperformance?

RESPONSE TO BE PROVIDED BY CLIA

14. How could the Commission amend its financial responsibility regulations to provide regulatory relief to those passenger vessel operators who have unearned passenger revenue less than 15 million dollars without raising the Commission's current 15 million dollar cap?

RCL Response:

RCL defers to cruise lines who have unearned passenger revenue totaling less than \$15 million.

15. How could the Commission amend its regulations, which currently require coverage of no less than 110 percent of the highest unearned passenger revenue amount of the previous two fiscal years, to better reflect the highly volatile unearned passenger revenue of seasonal passenger vessel operators?

RCL Response:

The Commission could be more flexible in the types of arrangements allowed, so that in lieu of being locked into the 110% of the two-year peak amount, cruise lines with significant seasonal variations might provide part of their security with a "floor amount" guarantee or bond, and then cover the floating amount with instruments such as letters of credit, guarantees or escrow balances that could be reset frequently to follow more closely the cruise line's actual fare deposits on hand from time to time.

16. Do you believe the Commission continues to need a 10 percent fixed amount of unearned passenger revenue in escrow accounts filed at the Commission by passenger vessel operators?

RCL Response:

RCL does not believe this is necessary.

17. How could the Commission amend its passenger vessel operator financial responsibility regulations to better reflect the existence of current Federal consumer credit card protections?

RESPONSE TO BE PROVIDED BY CLIA